

much more comfortable to trade. I believe that betting half Kelly is psychologically much better.

I think there is a more core reason why betting less than the Kelly amount would always be the rational decision in the case of trading. There is an important distinction between trading and playing a game such as blackjack. In blackjack, theoretically, you can know the precise probabilities, but in trading, the probability of winning is always an estimate—and often a very rough one. Moreover, the amount of extra gain forgone by betting less than the Kelly criterion is much smaller than the amount that would be lost by betting more than the Kelly criterion by the same percentage. Given the uncertainty of the probability of winning in trading combined with the inherent asymmetry in returns around the Kelly fraction, it would seem that the rational choice is to always bet less than the Kelly criterion, even if you can handle the volatility. In addition, there is the argument that for virtually any investor, the marginal utility of an extra gain is smaller than the marginal utility of an equal percentage loss.

That's true. Say I am playing casino blackjack, and I know what the odds are. Do I bet full Kelly? Probably not quite. Why? Because sometimes the dealer will cheat me. So the probabilities are a little different from what I calculated because there may be something else going on in the game that is outside my calculations. Now go to Wall Street. We are not able to calculate exact probabilities in the first place. In addition, there are things that are going on that are not part of one's knowledge at the time that affect the probabilities. So you need to scale back to a certain extent because overbetting is really punishing—you get both a lower growth rate and much higher variability. Therefore, something like half Kelly is probably a prudent starting point. Then you might increase from there if you are more certain about the probabilities and decrease if you are less sure about the probabilities.

In practice, did you end up gravitating to half Kelly?

I was never forced to make that decision because there were so many trade opportunities that I usually couldn't put on more than a moderate